

ELM — An Outside Reading

Elm Company (شركة علم) · FY2023 to FY2025, with H1 2026 update

Ezz

September 2026

Figures in SAR

Elm continues to combine fast growth with margins well above its listed IT-services peers. FY2025 was also a transition year, with the Thiqah acquisition, the company's first bank loan and a shift in business mix, so several headline ratios need context. The points worth watching are margin mix, collections and the new capital structure.

9.5bn

FY2025 revenue, +28%
(~27% a year since
FY2023)

2.09bn

FY2025 net income, +14%
H1 2026: 1.17bn (+7%)

21.4%

FY2025 EBIT margin
(listed peers 6-13%)

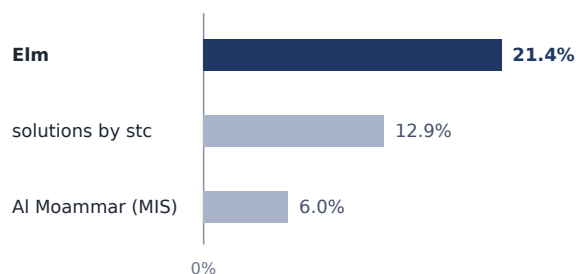
2.66bn

FY2025 operating cash
flow
1.27x net income

What stands out

- **Growth at scale.** Revenue up from SAR 5.9bn to 9.5bn in two years, and net income from SAR 1.36bn to 2.09bn. 2026 guidance is +17-19% revenue with a 21-23% EBIT margin.
- **Best-in-class profitability.** The FY2025 EBIT margin of 21.4% compares with 12.9% at solutions by stc and 6.0% at Al Moammar (MIS). The core Digital segment held a gross margin of ~47%.
- **Strong cash conversion.** Operating cash flow of SAR 2.66bn, up 60%, exceeded net income.
- **Integration on track.** Thiqah was integrated operationally ahead of schedule (Feb 2026), with SAR 70-80m of cost savings guided for 2026.

FY2025 EBIT margin vs. listed peers



Operating profit / revenue, from published FY2025 results. Business models differ: solutions by stc and MIS are weighted toward systems integration and resale.

Worth watching

- **Reading the ROE.** Reported ROE rose to 57.7%, mainly because the Thiqah acquisition was a common-control transaction and SAR 3.12bn was booked against retained earnings. On the pre-deal equity base, ROE is ~31% (FY2024: 34.5%), still very high.
- **Margin mix.** Gross margin eased from 40.9% to 38.9% and EBIT margin from 23.0% to 21.4% as the lower-margin BPO segment grew. FY2025 net income also includes a ~SAR 69m prior-year zakat reversal.
- **Collections.** DSO is ~139 days, ~SAR 1.3bn of receivables are over a year old, and contract assets rose 83%. Every 10 days of DSO is worth ~SAR 260m of cash.
- **Capital structure.** Net cash (cash and deposits less debt) moved from SAR 3.7bn to 2.2bn with the first SAR 1.97bn loan, which repays in annual instalments from April 2026.
- **Recent momentum.** Net profit growth slowed from +33% in Q1 2026 to +7% for H1 2026 (Q2: SAR 513m vs. SAR 656m in Q1), after Q4 2025 was also down 10% year on year.

Questions the market is likely to ask

1. How much of 2025-26 growth is organic, and how is Thiqah tracking against its plan?
2. What is the path for DSO and for the receivables that are over a year old?
3. What leverage range does the company target as it considers further acquisitions?